Alternative Investments

Module 5

1. Alternative Investments

Alternative investments (AI), such as Venture Capital (VC) and Private Equity (PE), are investment classes that operate outside the realm of traditional liquid securities like stocks and bonds. Their primary goals for institutional investors, known as Limited Partners (LPs), are achieving favorable **financial returns and asset diversification**.

Key Concepts and Context:

Asset Classes and Portfolio Management

In the context of modern portfolio theory, the selection of an optimal portfolio often utilizes a two-step optimization or **top-down approach**.

1. **Asset Allocation Decision:** This initial stage involves distributing risky investment funds across **broad asset classes**. Traditional classes include **shares (stocks), debt instruments (bonds)**, and **real assets**. Alternative investments (like VC and PE) fall outside these liquid categories, offering diversification benefits.
2. **Investment Decisions:** Financial management is fundamentally structured around three inter-related areas: investment (long-term and current assets), financing, and dividend policy. Investment decisions specifically relate to the selection of assets in which funds will be invested by a firm.

Financial Services Context

Alternative investments fall under the broad scope of **Financial Services**. This field encompasses personal planning, investments, real estate, and insurance.

Financing Alternatives (Special Finance Methods)

Alternative investment techniques often utilize specialized financial structures. Financial concepts like **leasing and venture capital** are considered important **special finance methods**.

Examples of Alternative Investment Mechanisms:

A. Venture Capital (VC)

Venture Capital is a subclass of **Private Equity** (PE). PE is characterized by investment in asset classes comprising debt and equity in companies **not listed on the stock exchange**.

- **VC Funding Role:** VC provides **long-term financial assistance** or **equity finance or risk capital** to young, small private businesses, typically focusing on **seed, start-up, and first-stage financing**.
- **VC Investors (Limited Partners - LPs):** VCs raise funds from institutional LPs. These LPs include **pension funds, foundations, family offices**, and high net-worth individuals.
- **VC Returns:** LPs commit capital expecting VC returns to be significantly higher than those offered by liquid securities, typically targeting upward of **20 percent Internal Rate of Return (IRR) on an annualized basis**.
- **Buy-out Funds:** Investors seeking alternative classes may move into other subclasses of private equity, such as **middle market buy-out funds**. VC also provides management assistance in leveraged **buyout financing**.

B. Leasing and Hire Purchase

Leasing is an alternative financing technique that creates an investment vehicle. It is considered an alternative to loan finance.

- **Concept:** A lease is a contract where the owner (the **lessor**) grants exclusive right to use an asset for an agreed period to another party (the **lessee**) in exchange for **lease rental**. The lessor retains ownership, while possession and economic use are vested in the lessee.
- **Types of Leases (Examples):**
    - **Operating Lease (Service Lease):** The contract period is considerably **shorter than the useful life** of the asset. The lessor typically provides services like maintenance and repairs. *Examples of assets include computers, office equipment, automobiles, and trucks.*
    - **Finance Lease (Full Payout Lease):** This is a long-term, non-cancelable lease spanning terms that approach the economic life of the asset.
    - **Sale and Lease Back:** The lessee, who already owns the asset, sells it to the lessor for cash and then leases the *same asset* back. This arrangement immediately enhances the lessee's **liquid resources**.
    - **Leveraged Lease:** Used for high-cost assets, this involves three parties: the lessor, the lender (creditor), and the lessee. The creditor has **recourse to the lessee** if the lessor defaults, and the lease rental is typically assigned directly to the creditor.
- **Examples of Leased Assets:** Assets commonly acquired through leasing include capital assets such as **land, buildings, equipment, machinery, and vehicles**. More specific examples include:
    - **Transportation:** Flat cars, locomotives, corporate jets, helicopters, commercial aircraft, automobiles, tractors, trailers, buses, trucks, intermodal containers, and vessels (tugs, ships, barges).
    - **Equipment:** Vending machines (candy and soda machines, toy dispensers).
- **Hire Purchase:** This is another method for acquiring a capital asset for use without immediate full payment. The purchaser (hirer) pays the price plus interest in **periodic**

installments. Ownership transfers only upon the final payment. If the hirer defaults, the seller (hiree) is entitled to recover the asset.

Venture Capital (VC) finance is recognized as a **new type of financial intermediary** that emerged in India during the 1980s. It is covered as a distinct topic within long-term finance. VC is often categorized as a subclass of private equity.

The VC profession is fundamentally driven by three core, cyclical functions: **raising the venture fund, finding investment opportunities**, and **generating financial returns**.

A. Concept of Venture Capital

VC funds primarily channel capital to highly promising but inherently risky enterprises that generally cannot secure traditional debt financing or access public markets.

Definition and Nature Venture Capital is a form of **long-term financial assistance** designed for projects established to introduce novel concepts, including **new products, inventions, ideas, and technology**. It is considered a specialty finance method.

Recipients (The Target Company) VC funds typically provide **equity finance or risk capital** to highly risky ventures. These recipients are typically:

- **Young, small private businesses** that are often unregistered and little known.
- Companies that operate in **technology-oriented and knowledge-intensive** sectors.
- VCs seek out opportunities with the potential to become significantly successful, sometimes referred to metaphorically as hunting for **"Facebook-like opportunities"** to generate target returns.

Funding Stage VC is defined based on the stage of company development it funds:

- **Seed, start-up, and first-stage financing**.
- Funding **expansion** for companies that have demonstrated their business potential but still lack access to credit-oriented institutional funding sources or public securities markets.

Definition (1995 Finance Bill) The 1995 Finance Bill specifically defined Venture Capital as a **long-term equity investment** in novel technology-based projects that demonstrate a potential for both **significant growth and financial return**.

VC Fund Structure A venture fund operates as a **close-ended fund**.

- Once the **target capital amount is raised (subscribed)**, no new investors are permitted to join.
- The life of a VC fund is typically **10 years**.

- The fund is formally dissolved after this 10-year period, or once all portfolio investments have been liquidated.
- Successful VC firms typically raise sequential funds (e.g., Fund I, II, III) every three to five years.

Example: The Investor Universe (Limited Partners - LPs) VC funds raise money from institutional investors, known in the industry as Limited Partners (LPs). These LPs include **pension funds, foundations, family offices, and high net-worth individuals**. These LPs commit capital based on the VC firm's investment strategy and expecting target returns generally **upward of 20 percent on an annualized basis (IRR)**. They look for one major exit that can "return the fund exit" (RTFE).

B. Features of Venture Capital

The sources highlight five primary characteristics that define VC financing:

1. **High Risk and High Return:** Venture Capital financing is characterized by reliance on **high risk** in exchange for the potential for **high return**. This expectation reflects the early and uncertain stage of the recipient companies.
2. **Equity and Quasi-Equity Instruments:** VC utilizes financial tools that grant ownership stakes or convertible rights, specifically **equity and quasi equity financing instruments**.
    - ***Example of Instruments:*** When structuring investment deals (term sheets), VCs often use instruments such as **preferred stock** that come with specific protective clauses like **liquidation preference** and **antidilution protections**. VCs also provide capital for **leveraged buy out financing**.
3. **Moderate Interest-Bearing Instruments:** While focused on equity, Venture Capital can also provide **moderate interest bearing instruments**.
4. **Suitability for High Technology:** This form of financing is particularly suitable for **risky oriented and high technology based industry**.
5. **Reduction of Initial Financial Burden:** VC financing serves to **reduce the financial burden** of the business concern during its initial stage, often by providing capital when other debt sources are unavailable.

Example: Indian VC Institutions The emergence of VC in India during the 1980s led to the creation of specialized institutions:

- **ICICI Venture Capital** was the first VC financing institution in India, established in 1988 as a joint venture between ICICI and UTI.
- The **UTI** launched the **Venture Capital Unit Scheme (VECAUS-I)** in 1990.
- Other major institutions involved include the **Technology Development and Information Company (TDICI)** and **Risk Capital and Technology Finance Corporation Ltd. (RCIFC)**.

- **ANZ Grindlays Bank** set up India's first private sector Venture Capital fund.
- Public sector banks like **SBI and Canara Bank** also participate, offering equity capital or conditional loans.

The history and evolution of Venture Capital (VC) in India are intrinsically linked to the liberalization and development of the nation's broader financial system, with its emergence defining a new type of financial intermediary.

C. History and Evolution of VC (with focus on India)

Emergence and Initial Institutional Steps

Venture Capital (VC) finance first emerged in India during the **1980s**.

- **First VC Financing Institution (Public Sector Example):** The **ICICI Venture Capital** organization was established as the first VC financing institution in India, initiating operations in **1988**. This endeavor was formed as a joint venture between **ICICI** (Industrial Credit & Investment Corporation of India) and the **UTI** (Unit Trust of India).
- **Early Fund Initiative (Example):** Following the establishment of the first institutions, the **UTI** launched the **Venture Capital Unit Scheme (VECAUS-I)** in **1990** to raise finance.

Key Institutions and Examples of Involvement

Several major financial institutions, both public and private, became instrumental in the development and provision of VC funds in India:

- **Technology Development and Information Company (TDICI):** TDICI is noted as another major VC financing institution in India. The ICICI and UTI jointly set up the Technology Development and Information Company of India Ltd. in **1988** specifically to provide venture capital. By January 1998, TDICI Ltd. was managing significant funds (Rs. 5500 Million and $75 Million).
- **Risk Capital and Technology Finance Corporation Ltd. (RCIFC):** RCIFC provides Venture Capital finance particularly to **technology-based industries**. The Risk Capital and Investment Company Pvt. Ltd. was operational by January 1998 with funds under management of Rs. 1000 Million.
- **First Private Sector Fund (Example): ANZ Grindlays Bank** holds the distinction of setting up India's **first private sector Venture Capital fund**.
- **Commercial Banks' Involvement (Example):** Banks such as **SBI (State Bank of India)** and **Canara Bank** are also involved in Venture Capital Finance. They participate by providing either **equity capital or conditional loans**. For instance, the Canara Bank Venture Capital Fund Ltd. was established in February 1995 with Rs. 164.25 Million in funds under management.

Evolution in the Financial System Context

The growth of VC institutions occurred alongside key structural developments in India's financial ecosystem:

- **Stock Holding Corporation of India (SHCIL):** The **Stock Holding Corporation of India (SHCIL)** was established in **1986**. SHCIL's primary goal was to provide quick share transfer facilities, clearing services, and support services to investors.
- **Systemic Development:** The establishment of **mutual funds and venture capital institutions** was one of the subsequent major developments within India's financial system following the formation of SHCIL. This emergence of VC institutions was part of the post-1991 reforms driven by liberalization, privatization, and globalization.
- **VC as Long-Term Finance:** Venture capital is recognized specifically as a source of **long-term finance** aimed at high technology projects.

The venture capital (VC) profession is driven by a fundamental lifecycle that involves three primary and continuous functions: **raising the venture fund, finding investment opportunities, and generating financial returns**. This lifecycle, often referred to as the arc of a venture capital investment, dictates the structure and operational goals of a VC firm.

D. The Venture Investment Process

1. Raising the Venture Fund (Part I)

The process of raising a venture fund, particularly for first-time funds, is described as **long and arduous**, often compared to an uphill crawl on broken glass. This phase determines the capital available for investment and involves securing commitments from Limited Partners (LPs).

A. Pitching to Limited Partners (LPs)

VCs, or General Partners (GPs), raise money by pitching their investment strategy (thesis) to financial institutions known as Limited Partners (LPs).

- **Examples of LPs:** The LP universe is diverse, including **pension funds, foundations, family offices, and high net-worth individuals**. Other sources of capital include endowments, corporations, and Fund of Funds.
- **LP Motivation:** LPs commit capital seeking a blend of strong investment expertise, a compelling investment strategy, supportive market conditions, and objectives like **financial returns and asset diversification**.
- **Fund Due Diligence:** LPs evaluate VC firms based on the firm's **performance track record, manager background, investment strategy** (thesis), and supportive market

conditions. Fund diligence criteria and institutional asset allocation strategy are covered in Part I of the specialized literature.

B. Return Expectations and Fund Duration

- **Target Returns:** LPs expect venture returns to be at least twice those offered by liquid securities, such as public market indices. Target returns are typically **20 percent or more on an annualized basis**, measured by the Internal Rate of Return (IRR). Achieving top quartile venture returns often averages upward of this threshold.
- **Fundraising Timeline:** The fundraising process can take a significant amount of time. While 52 percent of venture funds complete their fundraising in 12 months, others spend as much as **18 months, or even 24 to 36 months on the road**.
- **Fund Structure and Life:** A venture fund is typically a **close-ended fund**, meaning that once the target amount is subscribed, no new investors are admitted. The life of such a fund is typically **10 years**, after which it is dissolved when all portfolio investments have been liquidated.
- **Subsequent Funds:** Successful firms do not necessarily wait until the liquidation of the previous fund. They raise their next fund (often labeled with Roman numerals, such as Fund I, II, III, IV, etc.) every **three to five years**. The ability of a firm to generate consistent returns across multiple economic cycles is the true measure of success.

2. Making Investments (Part II)

Once the capital is successfully raised, VCs are under significant pressure to **deploy the capital**.

A. Investment Period and Goal

- **Deployment Timeline:** The capital must be deployed during a defined **investment period**, typically lasting **three to five years**.
- **Investment Goal:** During this period, VCs actively seek highly successful opportunities, such as **"Facebook-like opportunities,"** to generate the target returns expected by their LPs. Investors, sometimes referred to as SuperLPs, prioritize seeing one big hit that has the potential to **"return the fund exit" (RTFE)**, meaning returning the entire fund's capital.

B. The Investment Process Steps

The investment process, covered in Part II of specialized literature, involves several core activities:

1. **Sourcing Investments**.
2. **Structuring and Negotiating Term Sheets**.
3. **Adding Value as a Board Member**.
4. **Monitoring Portfolio Companies**.

C. Sourcing Investment Opportunities (Examples)

The initial step involves identifying opportunities for capital deployment.

- **The Best Source:** The best source of investment opportunities is usually the **VC's network**.
- **Other Sources:** Opportunities are sourced from a variety of channels, including:
  - **Accelerators and Demo-Days**.
  - **Angel investors**.
  - **The VC e-Marketplace** (e.g., AngelList, Kickstarter, and FundersClub).
  - **Corporate research**.
  - **Trade conferences**.
  - **The Fountainheads of Academia and Research**.
  - **Cold calling**.
  - **Pitching competitions**.

D. Key Aspects of Deal Structuring (Examples)

After sourcing, the investment moves into structuring and negotiation:

- **Due Diligence (DD):** This includes conducting diligence on the management team (the "Jockey"), assessing the market (the "Horse"), and evaluating the idea/product and business model. DD involves a thorough checklist and background investigations.
- **Valuation Methods:** VCs use various techniques to determine valuation, including:
  - The **Simplified Form of the Venture Capital Method** of Valuation.
  - **Comparable Valuations** of Similar Investments (Comps).
  - **Discounted Cash Flow Method**.
- **Structuring Terms:** Investment transactions utilize specific terms, often involving the use of **Preferred Stock** (Equity), which typically includes clauses for **Liquidation Preference**, and **Antidilution Protections**. Other protective terms include milestone-based financing and governance provisions.

E. Due Diligence and Structuring Terms (Part II of Making Investments)

The investment process involves several steps, including **sourcing investments, structuring and negotiating term sheets, adding value as a board member, and monitoring portfolio companies**. A critical step before finalizing an investment is Due Diligence, followed by structuring the legal terms to align with target returns.

Due Diligence (DD)

Due Diligence is the systematic assessment process an investor undertakes to evaluate an opportunity. This assessment often utilizes a detailed **Due Diligence Checklist**. A key question guiding this process is: **"What Is Important: Jockey, Horse, or Markets?"**.

Key Focuses of Due Diligence:

1. **Management Team Diligence (The Jockey):** This focuses on evaluating the entrepreneurial team, often metaphorically referred to as the "Jockey". This involves:
    - **Assessing Intangibles:** Evaluating the non-quantifiable characteristics of the team.
    - **Evaluating the CEO:** Specifically assessing the leader of the company.
    - **Distinguishing between Serial and First-Time Entrepreneurs:** Recognizing the difference in experience levels.
    - **Conducting Background Investigations:** Performing checks on the individuals involved.
    - *Example:* VCs conduct diligence on the management team to see if they possess the necessary attributes and intellectual abilities to be successful.
2. **Market Diligence (The Horse):** This assesses the external environment, often metaphorically referred to as the "Horse". Key activities include:
    - **Assessing the Market:** Determining the size, dynamics, and potential of the target market.
3. **Idea/Product and Business Model:** This assesses the internal offering and how the company plans to generate revenue and profit:
    - **Evaluating the Idea or Product:** Assessing the technology, innovation, and viability of the offering.
    - **The Business Model:** Analyzing the underlying framework for value creation.
    - **Financial Projections:** Examining the company's expected financial performance.

Valuation Methods

VCs use structuring terms and specific valuation methods, often referred to as "Voodoo Arts," to justify and subsequently generate their target returns. The key inputs required for valuation include expected returns (cash flows and timing) and risk (required return).

Methods employed for valuation include:

- **The Simplified Form of the Venture Capital Method of Valuation**.
- **Comparable Valuations of Similar Investments (Comps):** Using peer companies or similar transactions as a benchmark.

- **Discounted Cash Flow Method (DCF):** This method involves calculating the present value of expected future cash flows. The DCF method is a type of time-adjusted evaluation technique that considers the time value of money.

Structuring Terms (The Term Sheet)

The negotiation process centers on the "Spirit of the Term Sheet" and addressing "Negotiation Stress Points". VCs structure investment terms to generate target returns.

Investment terms often utilize specific instruments and protective provisions:

- **Preferred Stock (Equity):** VCs utilize **Preferred Stock** to secure an equity stake.
- **Liquidation Preference:** This mechanism ensures the investor (VC) receives a return of capital, or a multiple thereof, before common shareholders in the event of liquidation or sale.
- **Antidilution Protections:** These clauses protect the investor's ownership percentage from being overly diluted by subsequent rounds of financing issued at lower valuations (a "down round").
- **Governance and Control:** Provisions like these protect the investor's securities and control rights, often secured via board seats.

F. Various Steps in Venture Financing: Incubation Financing

Venture Capital is defined by **Jame Koloski Morries** as encompassing several stages:

- **Seed, start-up, and first-stage financing**.
- Also funding the **expansion of companies** that have proven business potential but lack access to public securities markets or credit-oriented institutional funding sources.

Incubation financing is listed as a distinct step within the overall venture financing process.

G. Buy-outs (Leveraged Buy-out Financing)

Buy-outs are a specialized form of financing and investment:

- **VC Role in Buy-outs:** Venture Capital specifically provides **management in leveraged buy out financing**.
- **PE Subclass: Buy-out funds** are identified as a subclass of private equity (PE), alongside venture capital. This includes **middle market buy-out funds**.
- **Private Equity (PE) Context:** PE is one of the most prestigious areas in finance today. PE firms invest in asset classes comprising **debt and equity** in companies that are **not listed on**

the stock exchange. These firms share similarities with VC firms but typically provide capital to **established companies**.
- **Corporate Restructuring:** Mergers and acquisitions (M&A) of existing business units, including sale of existing unit or disinvestment, is part of **Corporate Restructuring**. This requires proper negotiation, preparation of documents, and completion of legal formalities.

The sources provide a clear foundational context for Real Estate within the field of finance, particularly emphasizing its role in financial services and investment theory.

3. Real Estate: Detailed Notes and Examples

Real estate functions both as a core asset class in investment portfolios and as a component of the broader financial services industry.

General Context and Financial Services Role

Real estate is explicitly mentioned as one of the areas concerned with **financial services**. Financial services encompass various activities, including **personal planning, investments, real estate, insurance and so on**.

Furthermore, **businesses everywhere lease real estate**, highlighting its widespread use as a financing mechanism, not just an outright purchase.

Asset Classification and Portfolio Allocation

Real estate is categorized as a fundamental type of asset in investment theory:

- **Broad Asset Classes:** When institutional investors determine their asset allocation (a decision often made in the second stage of the two-step portfolio optimization approach, or "top-down" approach), they distribute risky investment across broad asset classes. These traditional asset classes include **shares (stocks), debt instruments (bonds), and real assets**.
- **Investment Goal:** The selection of these broad asset classes, including real assets, serves the goal of efficient allocation of savings in an economy.

Valuation Principles

Valuation is the process that links risk and return to determine the worth of an asset. These valuation principles are not limited to financial paper assets:

- **Application:** Valuation can be applied to the **expected benefits from both real/physical assets as well as financial assets/securities** to determine their worth at a given point of time.

- **Key Inputs:** The determination of an asset's worth relies on key inputs: **expected returns in terms of cash flows together with their timing**, and **risk in terms of the required return**.

Specific Examples of Real Estate in Financing

Real estate can be involved in financing transactions in several ways:

- **Leasing:** You can lease a wide variety of **real estate**, including **office space to manufacturing sites and mini-storage facilities to retail stores**. The sources acknowledge that real estate leasing presents its own set of issues and opportunities.
    - **Property Type:** The term **real property** refers to **all the rights and benefits gained from the ownership of physical real estate** (such as land, trees, bushes, and weeds). Lease transactions often involve real and personal property or a mixture of both types.
    - **Examples of Leased Real Assets:** Capital assets commonly acquired through leasing include **land, buildings, equipment, machinery, and vehicles**.
    - **Sale and Lease Back (Example):** A sale and lease back transaction may involve real property, where the owner sells the asset and immediately leases the same asset back to enhance liquidity.
- **Mortgages (Working Capital Security):** A **mortgage** is used as an **additional security of immovable property to obtain short-term loans** for working capital credit by banks. A mortgage involves the transfer of a legal or equitable interest in specific immovable property for securing the payment of debt.
    - *Note:* The terms **mortgagor** (person who parts with interest in the property) and **mortgagee** (the bank in whose favor the transfer takes place) are used.

4. Private Equities (PE)

Concept of Private Equity

Private Equity is a highly specialized and widely regarded area within the financial industry.

- **Definition:** PE involves **investment in asset classes comprising debt and equity** in companies that are **not listed on the stock exchange**.
- **Career Context:** Working in Private Equity is described as one of the **most prestigious jobs in finance today**.
- **Recipients of Capital:** PE firms typically provide capital to **established companies**. This contrasts with VC, which focuses on early-stage and high-risk enterprises.
- **Comparison to Investment Banking:** Investment banking firms often specialize in advising on mergers and acquisitions (M&A). Private Equity firms, which invest directly in unlisted companies, share similarities with VC firms but focus on established businesses.

Relationship to Venture Capital (VC) and Buy-outs

Private Equity serves as an umbrella category encompassing several specialized investment strategies.

- **VC as a Subclass: Venture Capital is considered a subclass of private equity**. VC funds provide equity or risk capital, often to young, small, private businesses, particularly those in **technology-oriented and knowledge-intensive sectors**.
- **Buy-out Funds as a Subclass: Middle market buy-out funds** are specifically listed as **another subclass of private equity**.
    - **Buy-out Financing Example:** VC also provides **management in leveraged buy out financing**.
    - **Private Equity Focus:** PE firms, alongside VC firms, are investment institutions that use pooled capital (raised from Limited Partners) to invest in unlisted companies.

Exit Routes

The existence of Private Equity funds and related activities defines specific career paths and liquidity mechanisms within the financial sector.

- **Career Opportunity: Private Equity funds are mentioned as one of the possible exit opportunities from investment banking**. Investment banks frequently handle large transactions and restructuring activities (like M&A), which often involve PE firms.
- **Corporate Restructuring:** PE activities often intersect with **Corporate Restructuring**, which includes **mergers or acquisitions of existing business units, sale of existing unit or disinvestment**. These transactions require extensive negotiation, preparation of documents, and completion of legal formalities.
- **IPO Context:** PE firms facilitate M&A. Acquisitions are noted as the **primary path to an exit** for VC-backed companies. Alternatively, when a company is deemed ready, an **Initial Public Offering (IPO)** process may serve as an exit strategy.

5. Commodities

Commodities include tangible goods like **gold, oil, silver, wheat, coffee, and natural gas**. Unlike shares or bonds (which represent ownership or debt), commodities represent **real physical assets**. Their prices move based on **supply–demand**, **weather**, **geopolitical tensions**, and **economic growth**, not directly on corporate earnings or interest rates.

Why They Are Considered Alternative

- Diversification: **Commodity prices usually don't move in the same direction as stock or bond markets.**

- Inflation Hedge: **When inflation rises, the price of goods and raw materials usually increases, helping protect purchasing power.**
- Speculative & Hedging Opportunities: **Investors and producers use commodity futures to speculate or hedge against price risks.**
- Different Risk–Return Profile: **Commodities are more volatile, influenced by factors that don't affect financial assets.**

Ways of Investing in Commodities

- **Physical ownership:** Buying gold or silver directly.
- **Commodity derivatives:** Futures, forwards, and options on exchanges like MCX or NYMEX.
- **Commodity ETFs / mutual funds:** Easier access without dealing in physical goods.
- **Commodity-focused companies:** Investing indirectly through mining or energy firms.

Role in a Diversified Portfolio

Including commodities as part of alternative investments helps investors spread risk. For instance:

- If stock markets fall due to inflation, commodity prices (like gold or oil) often rise.
- During economic expansion, demand for industrial metals and energy increases, boosting returns.

Commodities are treated as alternative investments because they add diversification, inflation protection, and a different source of return compared to traditional financial assets. They make an investment portfolio more resilient to economic changes.

6. Insurance

Insurance is recognized as a vital component of the **financial services** sector. It plays a crucial role in providing guarantees against various types of risks. Insurance organizations are prominent institutional investors that dominate the structure of the Indian capital market.

A. Concept and Role

Part of Financial Services

Insurance services are an essential area of finance, alongside **banking and related institutions, personal financial planning, investments, and real estate**. Financial services are concerned with the design and delivery of advice and financial products to individuals, businesses, and governments.

Risk Function

The core purpose of insurance policies is to fulfill the **risk function** of the financial system. This function is achieved by providing guarantees or protection against specific types of risk.

- **Risks Covered:** Insurance provides protection against **life, health, and income risks**.
- **Policy Types:** This protection is delivered through the sale of **life, health insurance, and property insurance policies**.

Operation

Insurance services involve the practical application of risk protection. The operation of insurance includes services like:

- **Issuing of insurance**.
- **Selling policies**.
- **Undertaking risk**.
- Generally **acting as a participant in the provision of insurance services**.

Example (Operation): Insurance companies collect cash receipts from premiums and make cash payments for claims and annuities, which are classified as operating activities in a Cash Flow Statement of an insurance enterprise.

B. Classification

General Classification of Risk

Insurance policies generally cover three main categories of risk: **life, health, and property risks**.

Dominance of Public Sector Institutions in India

Historically, the Indian insurance sector was dominated by public sector institutions established through nationalization.

1. **Life Insurance Corporation of India (LIC):**
    - **History:** The **nationalization of 245 life insurance corporations** in India led to the formation of the Life Insurance Corporation of India (LIC).
    - **Establishment:** LIC came into existence on **September 1, 1956**.
    - **Dual Role:** LIC operates in the **mutual funds sector**.
2. **General Insurance Corporation (GIC):**
    - **History:** The **nationalization of general insurance business** occurred in **1972**.
    - **Establishment:** The General Insurance Corporation (GIC) was set up following this nationalization.

- **Involvement:** GIC is one of the institutions involved in **mutual funds activities**.

C. IRDA and Regulatory Norms

- **Regulatory Body:** The insurance sector is regulated by the **Insurance Regulatory and Development Authority (IRDA)**.
- **Regulatory Role:** The IRDA was established for the **regulation of the insurance sector**.
- **Market Liberalization:** The establishment of IRDA led to the **consequent dismantling of the monopoly of LIC and GIC and its subsidiaries**. The government allowed the private sector and **foreign companies** to enter the insurance sector in India.
- **Oversight:** Insurance organizations are among the institutional investors that dominate the structure of the Indian capital market. The supervision of financial conglomerates (which may include insurance firms) involves monitoring by the RBI, SEBI, and IRDA.

D. Operation of General Insurance, Health Insurance, Life Insurance

In addition to the general operations listed in Section A (issuing policies, undertaking risk, etc.), the sources indicate the nature of institutions involved in providing specific insurance services in India:

- **Life Insurance and General Insurance:** Both the Life Insurance Corporation of India (LIC) and the General Insurance Corporation of India (GIC) are examples of specialized financial institutions that also provide **lease finance** to industrial concerns.
- **Cash Flow Example:** Cash receipts from premiums and cash payments for claims and annuities related to insurance are listed as examples of cash flows from **operating activities** in a Statement of Cash Flows.

C. IRDA and Regulatory Norms

The insurance sector is highly regulated in India, with the IRDA playing a critical role in governance and stability.

Regulator and Financial Market Oversight

The **Insurance Regulatory and Development Authority (IRDA)** is a regulatory institution.

- **Regulation and Development:** The **IRDA Act** was enacted, leading to the **setting-up of the IRDA for the regulation of the insurance sector**.
- **Dismantling Monopoly (Example):** The establishment of the IRDA resulted in the consequent **dismantling of the monopoly** held by the public sector institutions, namely the Life Insurance Corporation of India (LIC) and the General Insurance Corporation (GIC) and its subsidiaries.

Institutional Investors

Insurance organizations are significant participants in the Indian financial system.

- **Market Dominance:** As a result of the institutionalization of savings, institutional investors such as **insurance organizations**, mutual funds, and foreign institutional investors **dominate the structure of the Indian capital market**.
- **Leasing Finance (Example):** Institutions like the **Life Insurance Corporation of India (LIC)** and the **General Insurance Corporation of India (GIC)** are examples of specialized financial institutions that provide lease finance assistance to industrial concerns.

Supervision of Conglomerates

The complexity of modern financial entities requires coordinated regulatory oversight.

- **Consolidated Supervision:** The Reserve Bank of India (RBI) focuses on **consolidated supervision of financial conglomerates**. These conglomerates include various non-banking financial segments such as **banks, NBFCs, insurance, and brokerage firms**.
- **Regulatory Framework:** The framework for the consolidated supervision of financial conglomerates is monitored by three supervisory bodies: the **RBI, SEBI**, and **IRDA**.

Foreign Participation and Liberalization

The liberalization of the Indian economy expanded participation in the insurance sector.

- **Government Policy:** The government specifically **allowed the private sector to enter banking and insurance**.
- **Foreign Companies:** Following these reforms, **foreign companies were also allowed to enter into the insurance sector in India**. This liberalization of foreign investment is a major element of the changed economic and financial environment in the post-liberalization era since the early nineties.

D. Principles of Insurance and Operation of General, Health, Life Insurance

Insurance is categorized as a core element of **financial services**.

Risk Protection and Function

- **Core Function:** Insurance policies are designed to fulfill the **risk function** of the financial system.
- **Protection Provided:** This risk function is achieved through the sale of different types of policies, providing **protection against life, health, and income risks**. This includes **life, health insurance, and property insurance policies**.

Operation of General, Health, and Life Insurance

The provision of insurance services involves several key actions performed by insurance institutions:

- **Issuing of insurance**.
- **Selling policies**.
- **Undertaking risk**.
- Generally **acting as a participant in the provision of insurance services**.

Example (Financial Reporting): Insurance organizations' operational activities involve cash flows such as the collection of **cash receipts from premiums** and the payment of **cash payments for claims and annuities**.